

Assignment 5 (For Ch6)

The ABC Company had the following inventory record for the month of January:

<u>Date</u>	<u>Description</u>	<u># of Items</u>	<u>Unit Price</u>	<u>Item</u>
1/1	Beginning inventory	5	\$20	Z1–Z5
1/5	Sale	2		Z2, Z5
1/11	Purchase	9	12	Z6—Z14
1/28	Sale	7		Z1, Z3, Z6, Z7, Z8, Z9, Z14

Required:

Assuming a perpetual inventory system is used, determine the cost of goods sold and the ending inventory under following cost flow assumption.

1. FIFO
2. Weighted average
3. Specific identification

1.FIFO—Perpetual

<u>Date</u>	<u>Goods Purchased</u>	<u>Cost of Goods Sold</u>	<u>Inventory Balance</u>
1/1	5 @ \$ 20 = \$ 100		5 @ \$ 20 = \$100.00
1/5		2 @ \$20 = \$40	3 @ \$20 = \$60.00
1/11	9 @ \$ 12 = \$ 108		3 @ \$20 = \$60.00 9 @ \$ 12 = \$108.00 = \$168.00
1/28		3 @ \$20 = \$60 4 @ \$ 12 = \$48 \$148.00	5 @ \$12 = \$60.00

2. Weighted average—Perpetual

<u>Date</u>	<u>Goods Purchased</u>	<u>Cost of Goods Sold</u>	<u>Inventory Balance</u>
1/1	5 @ \$ 20 = \$ 100		5 @ \$ 20 = \$100.00
1/5		2 @ \$20 = \$40	3 @ \$20 = \$60.00 (avg cost is \$20)
1/11	9 @ \$ 12 = \$ 108		3 @ \$20 = \$60.00 9 @ \$ 12 = \$108.00 (avg cost is \$14) = \$168.00
1/28		7 @ \$14 = \$98	5 @ \$14 = \$70.00
		\$138.00	

3. Specific identification

Specific Identification—Perpetual

Cost of Goods Sold:

$$(4 \text{ unit} \times \$20) + (5 \text{ units} \times \$12) = \underline{\underline{\$140.}}$$

Ending inventory under specific identification:

$$(1 \text{ unit} \times \$20) + (4 \text{ units} \times \$12) = \underline{\underline{\$68.}}$$